But Daddy Knows Best was nothing but bunk. While some companies put their cash to good use, many more fell into two other categories: those that simply wasted it, and those that piled it up far faster than they could possibly spend it.

In the first group, Priceline.com wrote off $67 million in losses in 2000 after launching goofy ventures into groceries and gasoline, while Amazon.com destroyed at least $233 million of its shareholders' wealth by "investing" in dot-bombs like Webvan and Ashford.com.[10] And the two biggest losses so far on record—JDS Uniphase's $56 billion in 2001 and AOL Time Warner's $99 billion in 2002—occurred after companies chose not to pay dividends but to merge with other firms at a time when their shares were obscenely overvalued.[11]

In the second group, consider that by late 2001, Oracle Corp. had piled up $5 billion in cash. Cisco Systems had hoarded at least $7.5 billion. Microsoft had amassed a mountain of cash $38.2 billion high—and rising by an average of more than $2 million *per hour.* [12] Just how rainy a day was Bill Gates expecting, anyway?

So the anecdotal evidence clearly shows that many companies don't know how to turn excess cash into extra returns. What does the statistical evidence tell us?

- Research by money managers Robert Arnott and Clifford Asness found that when current dividends are low, future corporate earnings also turn out to be low. And when current dividends are high, so are future earnings. Over 10-year periods, the average rate of earnings growth was 3.9 points greater when dividends were high than when they were low.[13]
- Columbia accounting professors Doron Nissim and Amir Ziv found that companies that raise their dividend not only have better stock returns but that "dividend increases are associated with [higher] future profitability for at least four years after the dividend change."[14]

In short, most managers are wrong when they say that they can put your cash to better use than you can. Paying out a dividend does not guarantee great results, but it does *improve* the return of the typical stock by yanking at least some cash out of the managers' hands before they can either squander it or squirrel it away.